harmonize the SBSEF regulatory regime as closely as practicable with the CFTC's SEF regulatory regime, achieving similar regulatory benefits as the CFTC regime while minimizing costs so as to impose only marginal costs on dually registered SEF/SBSEFs and their members. As a result of these harmonized regimes, SEFs that seek dual registration with the SEC would likely need to make only minor adjustments to their rules and trading procedures to support trading of SBS in addition to the trading of swaps.

While one commenter states that it would be inappropriate to relax or eliminate any SBSEF registration requirements for CFTC-registered SEFs,[78] an entity's status as a registered SEF in good standing with the CFTC is relevant when considering its application to register as an SBSEF and that reducing the registration burden for CFTC-registered SEFs, where possible, is appropriate. However, granting exemptive relief under section 36(a)(1), which this commenter opposes, or providing for a formally abbreviated SBSEF registration regime for CFTC-registered SEFs is not necessary to accomplish expedited registration and reduced registration burdens.[79] Requiring all applicants to submit Form SBSEF will support consistency in the review by the Commission and its staff of applications for registration of SBSEFs, which will include a review of the proposed rules for the SBSEFs. The Commission expects that prospective SBSEFs will be able to use the information in their SEF applications to complete their SBSEF applications, as discussed below.

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[78] *See supra* note 75 and accompanying text.

[79] In the Proposing Release, the Commission stated that it was "preliminarily considering" that it would exercise exemptive authority under section 36(a)(1) of the Act, 15 U.S.C. 78mm(a)(1), "to relax or eliminate entirely certain of the registration requirements for entities that are already registered as SEFs with the CFTC." Proposing Release, *supra* note 1, 87 FR at 28882.

For the reasons discussed above, the Commission is adopting Rule 803 as proposed, with minor technical modifications.[80]

B. Form SBSEF

The Commission proposed new § 249.2001 to require that entities use Form SBSEF to register with the Commission as an SBSEF. Form SBSEF would also be used for submitting any updates, corrections, or supplemental information to a pending application for registration. Form SBSEF is closely modeled on the CFTC's Form SEF for entities that seek to register with the CFTC as SEFs, with only minor changes to remove from the form the concept of post-registration amendments, as the proposed rule would not require any amendments to Form SBSEF post-registration. The exhibits that were proposed along with Form SBSEF are very similar to the exhibits in Form SEF. As with Form SEF, each applicant submitting a Form SBSEF would be required to provide the Commission with documents and descriptions pertaining to its business organization, financial resources, and compliance program, including various documents describing the applicant's legal and financial status. An applicant would be required to disclose any affiliates, provide a brief description of the nature of the affiliation, and submit copies of any agreements between the SBSEF and third parties that would assist the applicant in complying with its duties under the SEA. In addition, an applicant would be required to demonstrate operational capability through documentation, including technical manuals and third-party service provider agreements.

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[80] *See supra* note 32. The Commission is also deleting the header text "Minimum trading functionality" from paragraph (a)(3), and is adding the header text "Request to register" to paragraph (b)(1), in order to maintain consistency of style in the regulatory text. Additionally, the Commission is removing the requirement to use an Interactive Data File for filing requests to withdraw or vacate an application for registration pursuant to Rules 803(e) and 803(f). *See infra* section XIII.A.

Under Rule 803(b)(1), an applicant for SBSEF registration would be required to complete Form SBSEF and provide, upon the Commission's request, any additional necessary information and documentation in order review the application. The determination as to when an application submission is complete would be at the sole discretion of the Commission. The Commission would review Form SBSEF and, at the conclusion of its review, by order either: (i) grant registration; (ii) deny the application for registration; or (iii) grant registration subject to certain conditions. After an applicant is granted registration, any updates or amendments to the information contained in its Form SBSEF by an active SBSEF would be required to be submitted as rules or rule amendments under Rule 806 or Rule 807 or as may be required by other rules in Regulation SE.

One commenter states that the Commission should closely harmonize the rules for SBSEF registration with the CFTC's rules, with the exception of Exhibits D and H of Form SBSEF, which require: (a) a list of all affiliates and a description of any material pending legal proceedings of such affiliates, and (b) the financial statements of the affiliates. This commenter states that the information required by these exhibits is "burdensome and not fit for purpose" and should not be required unless the affiliate provides support services to the SBSEF or the legal proceedings are expected to have a material effect on the applicant or the operation of its proposed SBSEF.[81] As discussed above, several commenters expressed support for the Commission providing an expedited process for CFTC-registered SEFs that wish to register as SBSEFs.

[81] *See* Bloomberg Letter, *supra* note 18, at 11.

The CFTC adopted rules for the registration and regulation of SEFs in 2013,[82] and the CFTC's process for registering SEFs appears to be well understood by the industry and well designed for being adapted to the SBS market. Therefore, the Commission has used the CFTC's process as a basis for its own process for registering SBSEFs, and information about SBSEF affiliates is relevant to the Commission's oversight of SBSEFs and, in particular, oversight of SBSEF compliance with Rule 828 (conflicts of interest).[83] In addition, we assume that most if not all SBSEFs will be dually registered as SEFs.

However, while the content and exhibits of Form SBSEF closely match the form and content of Form SEF, exhibits to Form SEF are provided to the CFTC as unstructured documents, whereas most exhibits to Form SBSEF will be provided to the Commission as structured, machine-readable documents. Permitting SBSEFs to provide copies of Form SEF exhibits in lieu of Form SBSEF exhibits, while likely resulting in an expedited registration process for most SBSEFs, would also potentially result in a much higher volume of unstructured data, making the Form SBSEF disclosures more difficult for market participants and the Commission to analyze in an efficient manner. Thus, notwithstanding some commenters' support for an expedited registration process, the final rules do not permit SBSEFs to provide copies of Form SEF exhibits in lieu of Form SBSEF exhibits. The Commission is therefore adopting 17 CFR 249.2001 as proposed, but is renumbering it as 17 CFR 249.1701 under new subpart R ("Forms for Registration of, and Filings by, Security-Based Swap Execution Facilities") and is making a minor technical correction.[84]

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82 *See* 2013 CFTC Final SEF Rules Release, *supra* note 9.

83 *See infra* section VI.K.

84 The Commission is correcting the text in Instruction 20 to Form SBSEF to read "a list with the name(s) of the clearing agency(ies)" instead of "a list of the name of the clearing organization(s)."

IV. RULE AND PRODUCT FILINGS BY SBSEFS

Unlike section 19(b) of the SEA,[85] which sets out a process whereby national securities exchanges and other SROs submit filings to the Commission to add, delete, or amend rules (including rules to list products), section 3D of the SEA[86] does not set out an equivalent process for SBSEFs, which are not SROs. It can be expected, however, that an SBSEF will seek to change its rules over time in order, for example, to implement new trading methodologies and to expand its product offerings to make its market more attractive to participants, and adopting rules for filings related to these changes will promote public transparency regarding the changes, as well as consistent handling of those filings by the Commission.

An appropriate review process is necessary to assess whether changes to an SBSEF's rules and product offerings are consistent with section 3D of the SEA and the Commission's rules thereunder, and the CFTC's filing procedures are an appropriate model on which to base the Commission's own filing procedures. Furthermore, because of the likelihood that most if not all SBSEFs will be dually registered with the CFTC as SEFs, and that many rule changes for a dual registrant will affect both its SBS and swap trading businesses, close harmonization with the CFTC's filing procedures would allow a dual registrant to make a similar filing to each agency, allowing each agency to carry out its oversight functions while minimizing the burdens on dual registrants.

Parts 37 and 40 of the CFTC's rules set out processes whereby SEFs may establish or amend rules and list products. These processes allow a SEF to voluntarily submit a rule, rule amendment, or new product for CFTC review and approval, or to "self-certify" that a rule, rule

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[85] 15 U.S.C. 78s(b).

[86] 15 U.S.C. 78c-4.

amendment, or new product meets applicable standards under the CEA and the CFTC's rules thereunder without obtaining CFTC approval, although the CFTC retains the ability, in certain circumstances, to stay the self-certification for further review before it may become effective. Using its general authority to impose any requirement on SBSEFs and to prescribe rules governing the regulation of SBSEFs,[87] the Commission proposed to establish similar filing processes for registered SBSEFs in Rules 804 to 810 of Regulation SE.[88]

A. Rule 804—Listing Products for Trading by Certification

1. Summary of the Proposed Rule

Proposed Rule 804 is modeled on 17 CFR 40.2 of the CFTC's rules and would set forth procedures by which an SBSEF may list a product via certification. Paragraph (a)(1) of Proposed Rule 804 would require an SBSEF to file its submission electronically with the Commission using the EDGAR system as an Interactive Data File in accordance with Rule 405 of Regulation S-T.

Paragraph (a)(2) of Proposed Rule 804 would provide that the Commission must receive the submission by the open of business on the business day that is 10 business days preceding the product's listing.[89]

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87 *See* 15 U.S.C. 78c-4(d)(1)(A)(ii) (requiring an SBSEF, in order to be registered and to maintain registration, to comply with any requirement that the Commission may impose by rule or regulation); 15 U.S.C. 78c-4(f) (directing the Commission to prescribe rules governing the regulation of SBSEFs).

88 The CFTC has proposed to amend the rules that govern how CFTC-registered entities submit self-certifications and requests for approval of their rules, rule amendments, and new products for trading and clearing, as well as the CFTC's review and processing of such submissions. *See* CFTC, Provisions Common to Registered Entities (Notice of Proposed Rulemaking), 88 FR 61432 (Sept. 9, 2023).The CFTC's proposing release states that the proposed amendments "are intended to clarify, simplify and enhance the utility of those regulations for market participants and the [CFTC]." *Id.* at 61432. The CFTC has not yet taken action on this proposal.

89 By contrast, the parallel provision in § 40.2(a) provides that a DCM or SEF must file the self-certification only one business day before listing the product. *See* § 40.2(a)(2) (one of the conditions for a valid self-certification of a product is that the CFTC has received the submission by the open of business on the business day preceding the product's listing).

Paragraph (a)(3) of Proposed Rule 804 would require a self-certification to include a copy of the submission cover sheet;[90] a copy of the product's rules, including all rules related to its terms and conditions; the intended listing date; a certification by the SBSEF that the product to be listed complies with the SEA and the Commission's rules thereunder; a concise explanation and analysis of the product and its compliance with applicable provisions of the SEA, including the Core Principles, and the Commission's rules thereunder; a certification that the SBSEF posted a notice of pending product certification with the Commission and a copy of the submission, concurrent with the filing of a submission with the Commission, on the SBSEF's website;[91] and a request for confidential treatment, if appropriate, as permitted pursuant to SEA Rule 24b-2.[92]

Paragraph (b) of Proposed Rule 804, modeled on § 40.2(b), would provide that, if requested by Commission staff, an SBSEF shall provide any additional evidence, information, or data that demonstrates that the SBS meets, initially or on a continuing basis, the requirements of the SEA or the Commission's rules or policies thereunder.

Paragraph (c)(1) of Proposed Rule 804 would provide that the Commission may stay the certification of a new product by issuing a notification informing the SBSEF that the Commission is staying the certification on the grounds that the product presents novel or complex issues that require additional time to analyze, is accompanied by an inadequate

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90 The Commission proposed, in new § 249.2002, a submission cover sheet (with instructions) that is closely modeled on the CFTC's submission cover sheet.

91 Under Rule 804(a)(3)(vi), information that the SBSEF seeks to keep confidential can be redacted from the documents published on the SBSEF's website but would have to be republished consistent with any determination made pursuant to SEA Rule 24b-2.

92 Section 40.2(a)(3) instructs filers to make any request for confidential treatment pursuant to § 40.8 of the CFTC's rules, which in turn cross-references 17 CFR 145.9. The Commission proposed instead to direct filers to make any request for confidential treatment pursuant to existing SEA Rule 24b-2. *See supra* note 51.

explanation, or is potentially inconsistent with the SEA or the Commission's rules thereunder.[93] Under paragraph (c)(1), the Commission would have an additional 90 days from the date of the notification to conduct the review.

Paragraph (c)(2) would require the Commission to provide a 30-day comment period during that 90-day period, and to publish a notice of the 30-day comment period on the Commission's website. Comments from the public could be submitted as specified in that notice.

Paragraph (c)(3) would provide that the product that had been stayed would become effective, pursuant to the certification, at the expiration of the 90-day review period, unless the Commission withdraws the stay prior to that time, or the Commission notifies the SBSEF during the 90-day time period that it objects to the proposed certification on the grounds that the proposed product is inconsistent with the SEA or the Commission's rules.

2. Comments and Analysis

One commenter states that, while the proposed self-certification process does include improvements to the CFTC's self-certification process, including extending the initial review period from one business day to 10 business days and expanding the scope of reasons for staying the self-certification, it is still fundamentally flawed. This commenter states that the CFTC's self-certification process is mandated by statute and that, in the absence of any statutory mandate

[93] Rule 807(c) is based on § 40.2(c), which provides that the CFTC may stay the listing of a contract pursuant to paragraph (a) of this section during the pendency of CFTC proceedings for filing a false certification or during the pendency of a petition to alter or amend the contract terms and conditions pursuant to section 8a(7) of the CEA. The SEA does not include the CEA's provisions regarding altering or amending the terms and conditions of an SBS listed by an SBSEF like the authority granted to the CFTC with respect to products listed by SEFs, such that the Commission would be able to stay the listing of an SBS that it believes may be inconsistent with the SEA, pending proceedings to exercise that authority. Nor are proceedings for false certification of an SBS contemplated by the SEA. For this reason, in lieu of harmonizing with § 40.2(c), the Commission proposed, in Rule 804(c), a provision that would allow the Commission to stay the certification of a new product in the same manner that Rule 807(c) would allow the Commission to stay the self-certification of a new rule or rule amendment.

analogous to that applicable to the CFTC, the Commission must, at the very least, provide a coherent policy justification for its proposed self-certification process.[94]

This commenter states that it is not clear why it is necessary or desirable for SBSEFs to be able to bring new products to the market "speedily" and that self-certification turns the regulatory process on its head, creating in effect a presumption of regulatory compliance and putting the onus on the agency, under a predetermined timeline, to fully evaluate a proposed product that may threaten significant harm to investors and market stability.[95] This is especially the case, the commenter states, considering the context in which the SEC was given comprehensive authority to regulate and oversee the SBS market, i.e., a financial crisis caused in large part by SBS and other novel financial products whose risks regulators and market participants thought were well understood, but in fact were not. Given this context, the commenter states, it "makes little policy sense to establish a regime whereby an SBSEF could introduce a new potentially dangerous product to the financial system without an affirmative, independent SEC determination that such product not only complies with the SBSEF Core Principles and other requirements, but also that it does not pose an unwarranted danger to investors, the financial system, and the broader economy."[96]

For several reasons the Commission does not agree with the objections raised by this commenter. *First*, the Commission does not agree that the self-certification process of Rule 804

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94 *See* Better Markets Letter, *supra* note 18, at 13.

95 *See* Better Markets Letter, *supra* note 18, at 13–14; *see also* Letter from Bryce Keeney (Apr. 27, 2022) ("Keeney Letter") (stating that "[d]erivatives are not the purpose of the market" and that the Commission should "align rules to focus on the primary purpose, not to support tertiary aspects that result in systemic risk and systemic abuse"); Letter from Kevin (Apr. 20, 2023) ("Kevin Letter") (stating that the proposed rules do not protect retail investors and that "[c]reating a self governing regime, allowing easier swaps trading across borders, exemption exchanges and registered brokers … sound like a terrible recipe for disaster in a multi-trillion marketplace").

96 Better Markets Letter, *supra* note 18, at 13–14.

either "turns the regulatory process on its head" or would deny the Commission the opportunity to "fully evaluate a proposed product that may threaten significant harm to investors and market stability."[97] The ability of the Commission to stay the effectiveness of any product self-certification, to seek public comment on that self-certification, and to object to (i.e., effectively disapprove) the proposed certification on the grounds that the product is inconsistent with the SEA or the Commission's rules will provide the Commission with sufficient opportunity (including the opportunity to seek public comment) to consider the self-certified rules and take steps to protect investors and maintain fair, orderly, and efficient markets. Further, the self-certification process does not create a "presumption of compliance," because: (a) Rule 804(b) requires an SBSEF to provide, at Commission request, any "additional evidence, information, or data that demonstrates that the SBS meets, initially or on a continuing basis, the requirements of the SEA or the Commission's rules or policies thereunder"; (b) Rule 804(c)(1) permits the Commission to suspend a new product certification because "the product presents novel or complex issues that require additional time to analyze, is accompanied by an inadequate explanation, or *is potentially* inconsistent with the SEA or the Commission's rules thereunder" (emphasis added); and (c) Rule 804(c)(3) does not create a presumption of compliance but instead provides the Commission a mechanism by which to object to a proposed certification "on the grounds that the proposed product is inconsistent with the SEA or the Commission's rules."[98]

Second, given the relationship between the swaps market and the SBS market, as well as the likelihood that most or all entities seeking to register as SBSEFs will be CFTC-registered

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97 *See supra* note 96 and accompanying text.

98 Section IV.D, *infra*, discusses the process for self-certification of rule changes, including the Commission's ability to stay the effectiveness of such a filing, which would lead to a public comment period and the opportunity for the Commission to object to the certification.